

Performance Management System

Version 1.0

Document History

REVISION No.	REVISION DATE	DESCRIPTION OF CHANGE	AUTHOR	REVIEWED BY
1.0	10-Sep-19	Initial Version	Pallavi.S /Pradnya D	Sanyukta Vohra

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Objective

The purpose of an effective performance management system is for employees to have a clear understanding of the work expected from them, to receive ongoing feedback regarding how they are performing relative to expectations, to distribute rewards accordingly, to identify development opportunities, and to address performance that does not meet expectations.

Your Role in Performance Management:

As a Supervisor	As an Employee
Share the company's goals, mission, policies & procedures, process and other relevant information	Review, understand and follow the organisational procedures. Work towards achieving your individual goals.
Communicate APAR's performance standards and expectations.	Actively participate to understand how performance is in line when contributing to the organisation's objectives.
Provide feedback for success, challenges and coaching regularly.	Seek/provide feedback, monitor your own performance, give suggestions and communicate regularly.
Document the progress reviews	

Following are the various forms of Performance evaluation:

1. PROBATION EVALUATION:

Objective:

To evaluate the performance of probationers for the purpose of confirmation, extension of probation or Termination of services

The purpose of the probation assessment process is to:

- ✓ Ascertain the progress of the employee during the probation period and indicate whether he/she should be confirmed in the services.
- ✓ Evaluate the alignment and fitment of the member with the culture and values of the Company.
- ✓ Provide the employee with clarity of the job and its responsibilities.
- ✓ Set targets and deliverables for the year under review.
- ✓ Get a feedback from the employee on how well he/she has settled in the role given and to identify the areas of difficulties faced by the employees
- ✓ Assess/counsel the employee on specific areas of improvement.

Process:

Step 1: 15 days prior to the confirmation due date, HR will send the Probation Evaluation Form to the employee and employee's supervisor

Step 2: The employee fills in the assessment sheet & sends it to his Reporting Manager .

Step 3: A joint discussion is held between the Manager/Lead & the concerned employee to understand how well he/she is finding the job and the difficulties faced on the job. The supervisor also, shares his feedback on the strengths and areas of improvements of the employee.

Step 4: Post the discussion, Manager/TL recommends whether the employee is to be confirmed, probation extended or whether the services are to be terminated and sends the form to the BU head for approval looping HR

Step 5: On receiving the approval from BU heard; HR takes necessary actions:

Step 5a: If the Employee is to be confirmed:

HR issues the confirmation letter and obtains an acknowledgement. Subsequently the PEF and the copy of the confirmation letter is maintained in the personnel file of the employee.

Step 5b: If the Employee's service are to be terminated:

HR issues a termination letter & initiates the Separation Process. Records are retained in the file.

Step 5c: If the Probation period is to be extended:

- HR issues an extension letter and obtains an acknowledgement. Subsequently the PEF and the copy of the extension letter are maintained in the personnel file of the employee.
- Extension of probation must be recommended only in cases where it is felt that there is a definite scope and potential for improvement in performance.
- Repeat step 1 to 5 if the employee's probation is extended

2. HALF YEARLY FEEDBACK

Objective:

To evaluate the performance of the employee based on his work done at the completion of the project and set expectations for future performance standards.

Process:

Step 1: At the end of every month HR to get a list of completed projects from Timesheet Management Team. HR to roll out the performance closure form to Project manager and employees.

Step 2: Project Manager to fill up this form in consultation/discussion with the employee. HR may not be involved during the project review feedback.

Step 3: The final filled Project closure form to be shared with the HR copying the Manager and employee.

Step 4: HR to save the form in the personnel records and can be used during annual performance review.

Depending on the impact on the project the employee may be onto a Performance Improvement Plan (PIP) in case the review suggests that the employee's performance Needs Improvement (NI)

3. PERFORMANCE IMPROVEMENT PLAN

Objective:

A performance improvement plan (PIP) is designed to assist and encourage all employees to achieve and maintain satisfactory standards of performance. The aim is to ensure consistent and fair treatment for all and to assist any employee who is considered to be experiencing difficulties in performing the duties required of the post to which s/he was appointed.

Process:

Step 1: Document Performance Issues

The first step in the PIP process is for the supervisor to document the areas of the employee's performance that need improvement. In the PIP Template.. This form helps to document the following:

- a. The main areas of performance issues
- b. Required outcome of the PIP
- c. Strategies how the employee is going to meet the required outcomes
- d. Support, that the Manager is going to provide to the employee to meet the required outcomes
- e. Responsibilities of the employee, the Manager and any other relevant parties
- f. Consequences, if the employee meets or doesn't meet the required outcomes by the final review

Step 2: Discussion with the Employee

During this meeting, the supervisor must clearly lay out the areas for improvement and plan of action. which may be adjusted based on employee feedback in the meeting. Making the process collaborative can help in identifying areas of confusion or misunderstanding on the employee's part and can encourage ownership of the issue by the employee. This action plan should include specific and measurable objectives that are accurate, relevant and time-bound (otherwise known as SMART goals). After changes to the plan are made, the supervisor and the employee should sign the PIP form in the presence of HR Manager.

Step 3: Follow Up

The employee and supervisor should establish regular follow-up meetings (weekly, biweekly or monthly), which can be outlined in the PIP. These meetings should be discussed and document the progress toward objectives. Employee is provided an opportunity to ask questions and seek guidance or clarification on performance expectations. The supervisor should ensure that any potential roadblocks are discussed and that the employee has been provided the necessary tools to meet the objectives of PIP.

Step 4: PIP Conclusion

If an employee is unable to improve or refuses to commit to the PIP, or if his or her performance actually worsens, then the employer should close the PIP and consider a possible demotion or terminate his/her employment based on the specific circumstances.

When the employee does show some improvement but is unable to achieve some or all of the established action plan objectives within the PIP timeline, there are a few options:

- a. If the employee is doing his or her best but just cannot exactly meet one or more objectives, the employer may agree to extend a PIP for a few more weeks or months.
- b. If the employer determines the employee is not a good fit or is not really trying to improve even after all this effort, then the employer should consider job demotion or terminate employment or consider change in role
- c. When the employee has responded positively by meeting the objectives, HR will formally close the PIP and allow the employee to continue employment. This may occur prior to the deadline outlined in the PIP document. Manager must ensure that the employee understands that continued good performance is expected.

4. ANNUAL APPRAISAL PROCESS

The objective of the Annual Appraisal Process is

- To capture the efficiency of the employees by measuring the performance of the employee against agreed KRAs, metric and timelines
- To provide a platform for assessing the potential of the employee for growth in the organization and also assess the development needs.
- To use the performance management system inputs for salary revisions and promotions, variable pay pay-outs, career and succession planning and for talent development.

Periodicity

The appraisal process takes place once in a year in March / April. All salary revisions are effective from January 01.

Eligibility

For the annual appraisal cycle (Jan/Dec), all employees who have joined on or before 30th June in a particular year are eligible to participate.

Process

1. During the Annual Performance review, **appraisal forms are distributed** to the eligible employees in January and they are asked to do a self-assessment and submit the forms to their Reporting Managers.
2. If an employee has worked on multiple projects in a year, then the self-evaluation sheet will be shared with all the Project Managers or Leads the employee has worked with. All these rating are later compiled by HR to arrive at the final performance rating of an employee at the end of the year.
3. The Reporting Manager or Team Lead will then have a **one to one discussion** with the employee in the presence of HR and a final discussion with the BU Head if required, before agreeing on the final performance rating.
4. On the basis of the performance rating of the individual and overall performance of the Company, any revisions to the compensation, benefits, roles and responsibilities, etc. would be communicated to the employees and the KRAs for the following year would be defined.